

4. BOTTOM LINE - HOW THEY DECIDE?

The investor should be confident of making money on the business. Investors can only get comfortable when they see there is a good probability of capital appreciation. Investors do not make money on every deal. We have already seen how the math works at their end.



For very early-stage investors, most companies do not work. Out of 10 investments they make, only 1-2 actually do well.

Even the companies that do well will take years to generate profit for investors. Investment will go through if the investor is confident of capital appreciation and ability to sell at profit in future.

Factors that will depend on many other factors beyond your control as a founder. But it is essential to instill confidence in investors.